Not all entrepreneurs will succeed when they go out to raise a financing. Failure is a key part of entrepreneurship, but, as with many things in life, attitude impacts outcome.

Note that this advice does not pertain to informal meetings with investors about what you are doing. We meet with plenty of entrepreneurs who aren't raising money, just to get to know them. However, as soon as the switch flips to an active fundraising process, you must be all in.

Determine How Much You Are Raising

One of the common mistakes entrepreneurs make when raising money is targeting the wrong potential investors. Before you hit the road, figure out how much money you are going to raise since this impacts the choice of who you speak to in the process. For instance, if you are raising a $500,000 seed round, you'll talk to angel investors, seed stage VCs, super angels, micro VCs, and early stage investors, including ones from very large VC funds. However, if you are going out to raise $10 million, you should start with larger VC firms since you'll need a lead investor who can write at least a $5 million check.

While you can create complex financial models that determine how much money you need down to the penny, we know one thing with complete certainty: these models will be wrong. Instead, focus on the length of time you want to fund your company to get to the next meaningful milestone. If you are just starting out, how long will it take you to ship your first product? If you have a product in the market, how long will it take to get to a certain number of users or a specific revenue amount? Then, assuming no revenue growth, what is the monthly spend (also known as *burn rate*) that you need to get to that point? For example, if you are starting out and think it will take six months to get a product to market with a team of eight people, you can quickly estimate that you will spend around $100,000 per month for six months. Give yourself some time cushion (say, a year) and raise $1 million, since it'll take you a few months to hire people and ramp up spending to a $100,000-per-month burn rate.

The length of time you need varies dramatically by the type of business. In a seed stage software company, you should be able to make real progress in around a year. If you are trying to get a drug

approved by the Food and Drug Administration, you will need at least several years. Don't obsess about getting this exactly right. As with your financial model, it's likely wrong, or approximate at best. Just make sure you have enough cash to get to a clear point of demonstrable success while being careful not to overspecify the milestones that you are going to achieve. You don't want them showing up in your financing documents as specific milestones that you have to attain.

Be careful not to go out asking for an amount of money that is significantly larger than you need. One of the worst positions you can be in during a financing is to have investors interested but you are far short of your total fundraising goal. For example, assume you are a seed stage company that needs $500,000 but you go out looking for $1 million. One of the questions that the VCs and angels you meet with will probably ask you is: "How much money do you have committed to the round?" If you answer "I have $250,000 committed," a typical angel may feel you are never going to get there and will hold back on engaging, based simply on the status of your financing. However, being able to say "I'm at $400,000 on a $500,000 raise and we've got room for one or two more investors" is a powerful statement to a prospective angel since most investors love to be part of an oversubscribed round.

Finally, we don't believe in ranges in the fundraising process. When someone says they are raising $5 million to $7 million, our first question is: "Is it $5 million or $7 million?" Though it might feel comfortable to offer up a range in case you can't get to the high end of it, presumably you want to raise at least the low number. The range makes it appear like you are hedging your bets or that you haven't thought hard about how much money you actually need to raise. Instead, we always recommend stating that you are raising a specific number. If you end up with more investor demand than you anticipated, you can always raise a larger amount of money.

Also keep in mind that while the difference between $5 million and $7 million might not sound like much to you, it could make all the difference in the world to a VC. If the largest first check a VC writes is $3 million, a $5 million round means they can be the lead investor. However, in a $7 million round, they can only be a co-lead or a follower. While you should never change the amount of money you are raising to entice a VC, keep in mind that having a range makes your targeting and conversations murkier.

Fundraising Materials

While the exact fundraising materials you need varies widely by VC, there are a few basic things that you should create before you hit the fundraising trail. At the minimum, you need a short description of your business, an *executive summary*, and a presentation that is often not so fondly referred to as "a PowerPoint" despite the fact many of us are using Google Docs these days (and no, we don't know anyone who actually uses Keynote). Some investors will ask for a business plan or a *private placement memorandum* (PPM). While this is rarely requested in early stage investments, it's common in later-stage investments.

Once upon a time, physical form seemed to matter. In the 1980s, elaborate business plans were professionally printed at the corner copy shop and mailed out. Today, virtually all materials are sent via email. Quality still matters a lot, but don't overdesign your information. We can't tell you the number of times we've received a highly stylized executive summary that was organized in such a way as to be visually appealing, yet was completely lacking in substance. Focus on the content while making the presentation solid and able to stand on its own.

Whatever you send an investor should be clear, concise, interesting, and easy to process alone early in the morning in the darkness of a home office. If you need to talk the investor through it, you have lost the battle before you've started. Do not make the common mistake of thinking that you'll send out a teaser and then get to talk through the details at a meeting. Realize that whatever you send a VC is often both your first and last impression, so make it count.

Finally, while it's never required, many investors (such as us) respond to things we can play with, so even if you are a very early stage company, a prototype or demo is desirable.

Short Description of Your Business

You'll need a summary that you can email, often called the *elevator pitch,* meaning you should be able to present it during the length of time it takes for an elevator to go from the first floor to your prospective investor's office. Don't confuse this with the *executive summary,*

which we discuss next; rather, this is one to three paragraphs that describe the product, the team, and the business very directly. It doesn't need to be a separate document that you attach to an email; rather, this is the bulk of the email. Often it is wrapped with an introductory paragraph, especially if you know the investor or are being referred to the person, and a concluding paragraph with a very clear request for whatever next step you want.

Executive Summary

The executive summary is a short, concise, well-written description of your idea, product, team, and business. It is the first substantive document and interaction you will likely have with a prospective investor with whom you don't have a preexisting relationship. Think of the executive summary as the basis for your first impression and expect it to be passed around within a VC firm if there is any interest in what you are doing.

Work hard on the executive summary. The more substance you can pack into this short (up to three-page) document, the more a VC will believe that you have thought critically about your business. The executive summary is also a direct indication of your communication skills. A poorly written summary that leaves out key pieces of information will cause a VC to assume that you haven't thought deeply about some important issues or that you are trying to hide bad facts about the business. Our inner grammar nerds suggest you have someone not involved in your company proofread your materials.

In the executive summary, include the problem you are solving and why it's important to solve. Explain why your product is awesome, why it's better than what currently exists, and why your team is the right one to pursue it. End with some high-level financial data to show that you have aggressive but sensible expectations about how your business will perform over time.

Your first communication with a VC is often an introductory email, either from you or from someone referring you to the VC, that is a combination of the short description of your business along with the executive summary attached to the email. If your first interaction was a face-to-face meeting at a conference, at a coffee shop, or in an elevator, an interested VC will often say something like "Can you send

me an executive summary?" Do this the same day that it is requested of you to start to build momentum to the next step in the process.

Presentation

Once you have engaged with a VC firm, you will quickly be asked to either give or email them a presentation. This is usually a 10- to 20-page PowerPoint presentation consisting of a substantive overview of your business. There are many different presentation styles and approaches, and what you need will depend on the audience (one person, a VC partnership, or 500 people at an investor-day event). Your goal with the presentation is to communicate the same information from the executive summary, often with more examples, but using a visual presentation.

Over time, a number of different presentation styles have emerged. A three-minute presentation at a local pitch event is as different from an eight-minute presentation at an *accelerator*'s investor day as it is from a 30-minute presentation to a VC partnership. Recognize your audience and tune your presentation to them. The deck you email as an overview can be different from the one you present, even if you are covering similar material.

Work hard on the presentation flow and format. In this situation, form matters a great deal. It's amazing how much more positive a response is to well-designed and well-organized slides, especially if you have a consumer-facing product where user experience will matter for its success. If you don't have a good designer on your team, find a friend who is a freelance designer to help you turn your presentation into something visually appealing. Put some extra effort into this as it will pay off many times over.

The Entrepreneur's Perspective

"Less is more" when it comes to an investor presentation. There are only a few key things most VCs look at to understand and get excited about a deal: the problem you are solving, the size of the opportunity, the strength of the team, the level of competition or competitive advantage that you have, your plan of attack, and current status. Summary financials, use of proceeds, and milestones are also important. Most good investor presentations can be done in 10 slides or fewer.

Business Plan

We haven't read a business plan in over 25 years. Sure, we still get plenty of them, but it is not something we care about since we invest in areas we know well. Instead, we much prefer demos and live interactions. Fortunately, most business plans arrive in email these days, so they are easy enough to ignore since one doesn't have to physically touch them. However, some VCs care a lot about seeing a business plan, regardless of the current view by many people that a business plan is an obsolete document.

The business plan is usually a 30-plus-page document that has all sorts of sections and is something you would learn to write if you went to business school. It goes into great detail about all facets of the business, expanding on the executive summary to have comprehensive sections about the market, product, target customer, go-to market strategy, team, and financials.

While we think business plans prepared specifically for fundraising are a waste of time, we still believe that they are a valuable document for entrepreneurs to write while they are formulating their business. There are lots of different approaches today, including many that are user- or customer-centric, but the discipline of writing down what you are thinking, your hypotheses about your business, and what you believe will happen is still very useful. In addition, you will have a written record to help keep you and your team accountable down the road.

Now, we still aren't talking about a conventional business plan, although this can be a useful approach. Rather, if you are a software company, consider some variant of the *Lean Startup methodology* that includes the creation, launch, and testing of a minimum viable product as a starting point. Or, rather than writing an extensive document, use PowerPoint to organize your thoughts into clear sections, but also recognize that this is very different from the presentation you are going to give potential investors.

You will occasionally be asked for a business plan. Be prepared for this and know how you plan to respond, along with what you will provide, if and when this comes up.

Private Placement Memorandum

A private placement memorandum (PPM) is essentially a traditional business plan wrapped in legal disclaimers that are often as long

as the plan itself. It's time consuming and expensive to prepare, and you get the privilege of paying lawyers thousands of dollars to proofread the document and provide a bunch of legal boilerplate to ensure you don't say anything that you could get sued for later.

Normally, PPMs are generated only when investment bankers are involved and are fundraising from large investors that demand a PPM. In the past few years, bankers have often shifted to PowerPoint-type presentations with endless bullet points, instead of prose, because they are easier to create and likely easier to consume.

We've seen plenty of early stage companies hire bankers and draft PPMs. To us, this is a waste of money and time. When we see an email from a banker sending us a PPM for an early stage company, we automatically know that investment opportunity isn't for us and almost always toss it in the circular file.

Detailed Financial Model

The only thing that we know about financial predictions of startups is that 100 percent of them are wrong. If you can predict the future accurately, we have a few suggestions for other things you could be doing besides starting a risky early stage company. Furthermore, the earlier the stage of the startup, the less accurate any predications will be. While we know you can't predict your revenue with any degree of accuracy (although we are always pleased in that rare case where revenue starts earlier and grows faster than expected), the expense side of your financial plan is very instructive as to how you think about the business.

While you can't predict your revenue with any level of precision, you should be able to manage your expenses closely to plan. Your financials will mean different things to different investors. In our case, we focus on two things: (1) the assumptions underlying the revenue forecast (which we don't need a spreadsheet for—we'd rather just talk about them) and (2) the monthly burn rate or cash consumption of the business. Since your revenue forecast will be wrong, your cash flow forecast will be wrong. However, if you are an effective manager, you'll know how to budget for this by focusing on lagging your increase in cash spend behind your expected growth in revenue.

Some VCs are very spreadsheet driven. Some firms (usually those with associates) may go so far as to perform discounted cash flow

analysis to determine the value of your business. Some will look at every line item and study it in detail. Others will focus much less on all the details but focus on certain things that matter to them. For instance, what is your headcount over the next few quarters, and how fast do you expect to acquire users or customers? Although none of us know your business better than you, VCs will apply their experience and frame of reference to your financial model as they evaluate how well you understand the financial dynamics of your business.

In later financing rounds, your company's historical financial performance, underlying unit economics, cost structure, key metrics, and future financial plan will matter a lot more to your prospective VCs. At that point, you have been in business for a while. You will be raising money against your track record and the extrapolation of that into the future, rather than just an idea, a dream, and a startup fantasy.

The Demo

Most VCs love demos. In the short time before we wrote this section, we got to play with an industrial robot, wear a device that tracked our body temperatures and anxiety levels, interact with software that measured the number of times we smiled while we watched a video, saw a projection system that worked on curved walls with incredible fidelity, gave real blood out of our arms for a new analysis technology, and played around with a Web service that predicted what we were going to do before we actually did it. We learned more from these demos, especially about our emotional interest in the products we played with, than any document could communicate. Each of these demos also gave us a chance to talk directly to the entrepreneurs about how they thought about their current and future products, and we got a clear view of the enthusiasm and obsession of the entrepreneurs for what they are working on.

We believe the demo or a prototype (often called an *alpha*) is far more important than a business plan or financial model for a very early stage company. The demo shows us your vision in a way we can interact with. More importantly, it shows us that you can build something and then show it off. We expect demos to be underfeatured, to be rough around the edges, and to crash. We know that you'll probably throw away the demo on the way to a final product and

what we are investing in will evolve a lot. But like most 14-year-olds, we just want to play.

Demos are just as important in existing companies. If you have a complex product, figure out a way to show it off in a short period of time. We don't need to see every feature; use your demo to tell us a story about the problem your product addresses. We want to play with the demo, not just be passive observers, so give us the steering wheel. While we are playing, watch us carefully because you'll learn an enormous amount about us in that brief period of time while you see how comfortable we are, whether our eyes light up, and whether we really understand what you are pursuing.

Due Diligence Materials

VCs will ask for additional information as you go further down the financing path. If a VC offers you a term sheet, expect their lawyers to ask you for a bunch of stuff such as capitalization tables, material customer agreements, employment agreements, and board meeting minutes. The list of documents requested during the formal due diligence process (usually after signing of the term sheet, but not always) can be long. For an example, see the "Resources" page at www.venturedeals.com. The number of documents you will actually have depends on how long you have been in business. Even if you are a young company just starting up, we recommend that you organize all of these documents for quick delivery before going out to raise money, so you don't slow down the process when an investor asks for them.

You should never try to hide anything with any of these fundraising materials. Although you are trying to present your company in the best light possible, you want to make sure any issues you have are clearly disclosed. Deal with any messy stuff up front. If a VC forgets to ask for something early on, assume you will be asked for it before the deal is done. If you happen to get something past a VC and get funded, it will eventually come out that you weren't completely transparent, and your relationship will suffer. A good VC will respect full disclosure early on and, if they are interested in working with you, will actively engage to help you get through any challenges you have, or at least give you feedback on why there are showstoppers that you have to clear up before you raise money.

Finding the Right VC

The best way to find the perfect VC is to ask your friends and other entrepreneurs. They can give you unfiltered data about which VCs they've enjoyed working with and who have helped them build their businesses. It's also the most efficient approach, since an introduction to a VC from an entrepreneur who knows both you and the VC is always more effective than sending a cold email to vcname@vcfirm.com.

But what should you do if you don't have a large network for this? Back in the early days of venture capital, it was very hard to locate even the contact information for a VC, and you rarely found them in the yellow pages, not even next to the folks who gave payday loans. Today, VCs have websites and blogs, tweet endlessly, and even list their email addresses on their websites.

Entrepreneurs can discover a lot of information about their potential future VC partner well beyond the mundane contact information. You will be able to discover what types of companies they invest in, what stages they prefer to invest in, past successes, failures, approaches, strategies, and bios on the key personnel at the firm. If the VC has a social media presence, you will be able to take all of that information and infer things like their hobbies, theories on investing, beer they drink, food they eat, instruments they play, and type of building or facility—such as a bathroom—they like to endow at their local universities. Recognize that some VCs spend a lot of money and time on marketing to shape the impression you will have of them, so your personal network and stories from founders who have worked with them is often the most valuable information.

While it may seem obvious, engaging a VC who you don't know via social media can be useful as a starting point to develop a relationship. Besides adding to the VC's ego gratification of having a lot of Twitter followers (hint: now is the time to follow @jasonmendelson and @bfeld if you aren't already), you will develop an impression and, more importantly, a relationship, if you comment thoughtfully on blog posts the VC writes. Engage at a personal level. It doesn't have to be all business. Offer suggestions, interact, and follow the best rule of developing relationships: "give more than you get." Never forget the simple idea that if you want money, ask for advice. Try to develop a relationship that evolves over time, instead of viewing fundraising as a single, transactional experience. And, for the

avoidance of doubt, building an email list and sending out a mass mailing to everyone whose email address you can find is not what we are talking about.

Do your homework. When we get business plans from medical technology companies or somebody insisting we sign a nondisclosure agreement before we review a business plan, we know that they did absolutely zero research on us or our firm before they sent us the information. At best, the submission doesn't rise to the top compared to more thoughtful correspondences, and at worst it doesn't even elicit a response from us.

A typical VC gets thousands of inquiries a year. The vast majority of these requests are from people whom the VC has never met and with whom the VC has no relationship. Improve your chances of having VCs respond to you by researching them, getting a referral to them, and engaging with them in whatever way they seem to be interested in.

Finally, don't forget this works both ways. You may have a superhot deal and as a result have your pick of VCs to fund your company. Do your homework and find out who will be most helpful to your success, has a temperament and style that will be compatible with yours, and will ultimately be your best long-term partner. Ask for references from the VCs but also hunt down founders they didn't list as references, so that you get a full picture on your prospective investors. Remember that the average length of a relationship between VC and founder is on par with the average length of a marriage in the United States.

Finding a Lead VC

Assuming that you are talking with multiple potential investors, you can generally categorize them into one of three groups: leaders, followers, and everyone else. It's important to know how to interact with each of these groups. If not, you not only will waste a lot of your time but also might be unsuccessful in your fundraising mission.

Your goal is to find a lead VC. This is the firm that is going to give you a term sheet, take a leadership role in driving to a financing, and likely be your most active new investor. It's possible to have co-leads (usually two, occasionally three) in a financing. It's also desirable to have more than one VC competing to lead your deal without them knowing who else you are talking to.

As you meet with potential VCs, you'll get one of four typical vibes. First is the VC who is clearly interested and wants to lead. Next is the VC who isn't interested and passes. These are the easy ones. Engage aggressively with the ones who want to lead and don't worry about the ones who pass. While you may think that you can change their minds with persistence and salesmanship, you will almost always be wrong.

The other two categories—the "maybe" and the "slow no"—are the hardest to deal with. The "maybe" seems interested but doesn't really step up his level of engagement. This VC seems to be hanging around, waiting to see if there's any interest in your deal. Keep this person warm by continually meeting and communicating with him but realize that this VC is not going to catalyze your investment. However, as your deal comes together with a lead, this VC is a great one to bring into the mix if you want to put a syndicate of several firms together.

The "slow no" is the hardest to figure out. These VCs never actually say no but are completely in react mode. They will occasionally respond when you reach out, but there is no perceived forward motion on their part. You always feel like you are pushing on a rope—there's a little resistance but nothing ever really moves anywhere. We recommend you think of these VCs as a "no" and don't continue spending time with them.

Keep your head up and stay optimistic throughout the process. We realize how frustrating finding a lead VC can be. We also get frustrated with VCs who aren't transparent and deal in maybes and act as slow nos. If it makes you feel any better, we face the same thing when we go out to raise money from our investors and we get just as confused and frustrated as you do. Learn from all the feedback you get and don't take any of it personally.

How VCs Decide to Invest

Let's explore how VCs decide to invest in a company and what the process normally looks like. All VCs are different, so these are generalizations but reflect the way that VCs make their decisions.

The way that you get connected to a particular VC affects the process that you go through. Some VCs will only fund entrepreneurs with whom they have a prior connection or are referred by

someone they trust. Other VCs (but usually not lead VCs) prefer to be introduced to entrepreneurs by other VCs. Some VCs invest only in seasoned entrepreneurs and avoid working with first-time entrepreneurs, whereas others, like us, will fund entrepreneurs of all ages, genders, ethnicities, and experience and will try to be responsive to anyone who contacts us. Whatever the case is, you should determine quickly if you reached a particular VC through her preferred channel or are swimming upstream from the beginning.

Next, you should understand the role of the person within the VC firm who is your primary connection. If an associate reached out to you via email, consider that his job is to scour the universe looking for deals but that he probably doesn't have any real pull to get a deal done. It doesn't mean that you shouldn't meet with him, but also don't get overly excited until there is a general partner or managing director at the firm paying attention to and spending real time with you.

Your first few interactions with a VC firm will vary widely depending on whether your initial contact is the firm's style. At some point it will be apparent that the VC has more than a mild interest in exploring an investment in you and will begin a process often known as *due diligence*. This isn't a formal legal or technical diligence; rather, it's code for "I'm taking my exploration to the next level."

You can learn a lot about the attitude and culture of a VC firm by the way it conducts its diligence. For example, if you are raising your first round of financing and you have no revenue and no product, a VC who asks for a five-year detailed financial projection and then proceeds to hammer you on the numbers is probably not someone who has a lot of experience or comfort making early stage investments. If you are just starting out and the VC complains that you don't have enough traction, it's likely that you are speaking to a VC that doesn't really invest in early stage companies despite what they or their marketing materials suggest.

During this phase, a VC will ask for a lot of things, such as presentations, projections, customer pipeline or targets, development plan, competitive analysis, and team bios. This is all normal. In some cases, the VCs will be mellow and accept what you have already created in anticipation of the financing. In other cases, they will make you run around like a headless chicken and create a lot of busywork for you. At this point make sure a partner-level person (usually a managing director or general partner) is involved to ensure that you aren't the object of a fishing expedition by an associate or a data

collection exercise that only has a goal of getting information about your company into the VC firm's database (or, worse, leaked to a competitor the VC has funded or is considering funding).

The Entrepreneur's Perspective

If you feel like your VC is acting like a proctologist, run for the hills.

While the VC firm goes through its diligence process on you, we suggest you return the favor and ask for things like introductions to other founders they've backed. Nothing is as illuminating as a discussion with other entrepreneurs who have worked with your potential investor. Don't be afraid to ask for entrepreneurs the VC has backed whose companies haven't worked out. Since you should expect that a good VC will ask around about you, don't be afraid to ask other entrepreneurs what they think of the VC.

The Entrepreneur's Perspective

The best VCs will give you, either proactively or reactively, a list of all the entrepreneurs they've worked with in the past and ask you to pick a few for reference checks. The best reference checks are from companies that went through hard times, maybe swapped out a founder for another CEO, or even failed, because you will learn from them how the VC handled messy and adversarial situations.

You will go through multiple meetings, emails, phone calls, and more meetings. You may meet other members of the firm. You may end up going to the VC's offices to present to the entire partnership on a Monday, a tradition known by many firms as the Monday partner meeting. In other cases, as with our firm, if things are heating up you'll meet with each of the partners relatively early in the process in one-on-one or group settings.

As things unfold, either you'll continue to work with the VC in exploring the opportunity or the VC will start slowing down the pace of communication. Be very wary of the VC who is hot on your company, then warm, then cold, but never really says no. While some VCs are quick to say no when they lose interest, many VCs don't say no because they don't see a reason to. These VCs either want to keep

their options open, or are unwilling to affirmatively pass on a deal because they don't want to have to shut the door. In some cases, they are simply impolite and disrespectful to the entrepreneur. This is not dissimilar from how things work when meeting someone for the first time, so while fundraising may be new to you, use your instincts as you would in your personal life.

Ultimately, VCs will decide whether to invest. If they do, the next step in the process is for them to issue a term sheet.

The Entrepreneur's Perspective

If a VC passes on a deal with you, whether graciously or by not returning your emails and your calls, do your best to politely insist on feedback as to why. This is one of the most important lessons an entrepreneur can learn and is especially useful during the fundraising cycle. Don't worry that someone is telling you that your baby is ugly. Ask for the feedback, demand it, get it, absorb it, and learn from it.

Using Multiple VCs to Create Competition

Choice is power. Having multiple VCs interested in your company will provide insight into how different firms work and give you the negotiation leverage to improve the terms of the deal.

If you want to create a competitive process, allow at least three to six months to raise money. If you start the process earlier than this, you won't feel urgency to get a deal done, nor will your prospective investors. If you start with less time, you may not have enough time to get the financing done before you run out of money. A short window to get a financing done can lead to many VCs passing since they won't have enough time to evaluate your company. In other cases, VCs will sense desperation when you only have a few months left before running out of money, which doesn't help your negotiating position.

After you've started to engage with a particular VC, make sure you understand their process. A few will tell you, but most won't. After you've had a second meeting, ask what the process is going forward. While you might get a vague answer, you will often get some clues as to what the next steps and decision points are. If the VCs don't adhere to the process they lay out, take this as a sign that they aren't that interested in your company, they don't keep

their word, or possibly that they are just extremely busy. In any case, it's a useful signal to pay attention to.

Timing is everything. While it is hard enough to get multiple parties interested, you also need to make sure that the timing of each of their processes line up. It doesn't do you any good if you get three VCs interested in you 18 months apart. If you have a sense of process, you can bias your energy toward the firms with a longer process in an effort to synchronize the delivery of term sheets.

Be careful to understand what a slow process actually means. While annoying, many VCs have a slow process because they are bad at saying no and prefer to string entrepreneurs along to give the VC firm options in the event that a deal starts to heat up. If a VC is having trouble giving you clear and timely feedback, you may be speaking to someone who doesn't have the power in their firm to get a deal done. This is another reason we suggest that you interact, as much as possible, with managing directors and general partners.

Some VCs will ask you who else you are talking to. If your goal is to create a competitive process, never answer this question. If you do, the next email a VC will send is one to someone at the firms you told them you were talking to, asking what they think of you and your deal. Sometimes this works in your favor, but only in cases where the firms compete fiercely with each other for deals or in situations where firms collaborate closely. Either way, it's better to stay quiet about other conversations early on and only make connections between firms that are known collaborators as term sheets start to fly.

Be as strategic in your fundraising as you are with your business. Talk to everyone you can about which VCs to speak to, and don't waste your time with those who don't invest in your stage or sector. Be up front and direct and get as much information as you can during the fundraising process.

Closing the Deal

The most important part of the fundraising process is to close the deal, raise the money, and get back to running your business. How do you actually close the deal?

Separate it into two activities: the first is the signing of the term sheet and the second is signing the definitive documents and receiving the cash. The next few chapters of this book are primarily

about getting a term sheet signed. In our experience, most executed term sheets result in a financing that closes. Reputable VCs, especially early stage firms, can't afford to have term sheets signed and then not follow through; otherwise, they won't remain reputable for long.

This can be different for later stage firms. Often, you will agree to a term sheet, albeit a nonbinding one, but you aren't done with the deal process yet. Many later stage firms have a final formal approval step, known as their investment committee, before they actually close a deal. Over the years, we have seen multiple cases where a signed term sheet from a fund wasn't actually approved by the investment committee. In these cases, the company and VC proceeded as though the term sheet would lead to a deal and, after lots of diligence and legal drafting, the investment committee turned down the deal and the VC walked away, often putting the company in a difficult situation.

The most likely situations that derail financings are when VCs find unexpected bad facts about the company after signing a term sheet. You should assume that a signed term sheet will lead to money in the bank as long as there are no smoking guns in your company's past, the investor is a professional one, and you don't do anything stupid in the definitive document-drafting process.

The second part of closing the deal is the process of drafting the definitive agreements. Generally, the lawyers do most of the heavy lifting here. They will take the term sheet and start to negotiate the 100-plus pages of documentation that are generated from the term sheet. In the best-case scenario, you respond to due diligence requests, and one day you are told to sign some documents. The next thing you know, you have money in the bank and a new board member with whom you are excited to work.

In the worst case, however, the deal blows up. Or perhaps the deal closes, but there are hard feelings left on both sides. Throughout the process, manage it on a daily basis. Don't let the lawyers behave poorly, as this will only injure the future relationship between you and your investor. Make sure that you are responsive with requests, and never assume that because your lawyer is angry and says the other side is horrible (or stupid, or evil, or worthless) that the VC even has a clue what is going on. Many times, we have seen legal teams get completely tied up on an issue and want to kill each other when neither the entrepreneur nor the VC even cared or had any notion that there was a dustup. Before you get emotional, make a phone call or send an email to the VC and see what the real story is.